

SENATE BILL 1792

By Reeves

AN ACT to amend Tennessee Code Annotated, Title 4 and Title 54, relative to utility relocation projects by the department of transportation.

WHEREAS, the department of transportation's current Policy No. 340-07, "Utility Relocations from Public Highway Rights-of-Way Under T.C.A. § 54-5-804," already identifies "Water, Wastewater, Gas Distribution/Transmission, Electric Distribution/Transmission, Communication, CATV, Phone, Fiberoptic, Broadband, Street Lighting, Other" among the eligible utility categories for relocation reimbursement; and

WHEREAS, this act's revised definition of "utility" simply aligns Tennessee Code Annotated, Section 54-5-804, with the existing policy's language and clarifies that modern digital, broadband, and fiber optic infrastructure are included, thereby reflecting current practice rather than expanding the scope of reimbursable entities; and

WHEREAS, because the department already implements this policy and reimbursements have been made for these categories of utilities under the existing framework, this act should not impose additional costs on the department or require new budgetary appropriations beyond current practice; and

WHEREAS, this act does not require the department to increase reimbursement amounts above current levels but simply codifies the existing \$2.5 million cap as a statutory minimum for relocation projects whose costs exceed that amount while allowing the commissioner of transportation the discretion to authorize a higher reimbursement, thereby providing predictability for utilities without mandating increased costs to the State, as any reimbursement above the floor remains discretionary rather than automatic; and

WHEREAS, by clearly articulating the factors the commissioner must consider in authorizing higher amounts, including project scale, utility service impacts, ratepayer protection,

environmental and right-of-way constraints, and schedule and design obligations imposed by the department, this act promotes financial prudence, administrative transparency, and equitable treatment of utilities and their customers; and

WHEREAS, this act advances the public interest by reducing the risk of cost-shifting to utilities and ultimately to ratepayers, ensuring that essential utility service providers remain whole when required to relocate infrastructure in state highway rights-of-way, and by reinforcing this State's commitment to modern infrastructure investment and broadband deployment; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 54-5-802, is amended by deleting subdivision (8) and substituting instead:

(8) "Utility" means a privately, publicly, or cooperatively owned line, facility, or system used, available for use, or formerly used to transmit or distribute electricity, liquids, steam, sewerage, water, fuel gas, natural gas, telephone or telegraph services, broadband internet or fiber optic services, telecommunication services, or other materials to the public.

SECTION 2. Tennessee Code Annotated, Section 54-5-803, is amended by deleting the language "as defined in § 54-5-802" in subsections (a) and (c) and by deleting subsection (b) and substituting instead:

(b) The obligations of the utility are to make or suffer relocation required by the commissioner, to relocate cooperatively and in the reasonable manner and time as prescribed or approved by the commissioner as set forth in § 54-5-804 and § 54-5-854, and to pay all costs incurred in effecting relocation that the state is not authorized to pay under this part or otherwise by law. The existence of a dispute over the cost of

relocation or the method of paying or sharing the cost is not a ground for delay in relocation.

SECTION 3. Tennessee Code Annotated, Section 54-5-804, is amended by deleting subsection (a) and substituting instead:

(a) The commissioner shall reimburse a utility for the cost of relocation, including a utility performing its own relocation through its employees or a contractor, subject to the reimbursement requirements set forth in rules pursuant to subsection (f), and shall include the cost as a highway construction project cost, where the cost of relocation arises from the relocation of a utility facility located on a public highway right-of-way and the highway construction project is undertaken by the department, subject to the following conditions:

(1) The utility shall fully comply with § 54-5-854(b), including the preparation and submission to the department of the utility's relocation plan, cost estimate, and schedule of calendar days for completing the relocation, within the time period specified or within an additional time that may be allowed under § 54-5-854(b); and

(2) The utility shall either:

(A) Enter into a written agreement with the commissioner to include the relocation as a part of the department's highway construction contract; provided, however, that the agreement may provide that the utility must perform certain relocation work, and with its own union employees if required under a negotiated organized labor contract, but, in that case, the utility must reimburse the department for all relocation costs if it fails to timely perform its relocation work as provided in the agreement with the commissioner; or

(B) Enter into a written agreement with the commissioner to remove all utility facilities that conflict with the highway construction, as determined by the department, prior to the letting of the department's construction contract, and otherwise perform and complete the utility relocation in accordance with approved relocation plans and schedule of calendar days; provided, however, that the agreement must provide that if the department does not undertake the highway construction project within a specified time, then the utility must be reimbursed for the relocation work it has timely performed in accordance with the approved plans and schedule.

SECTION 4. Tennessee Code Annotated, Section 54-5-804, is amended by adding the following as a new subsection:

(f) The commissioner shall establish rules governing reimbursement of relocation costs to a utility in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, and subject to the following:

(1) The reimbursement amount for relocation projects costing less than two million five hundred thousand dollars (\$2,500,000) must be the actual cost of the relocation to a utility;

(2) The reimbursement amount for projects costing two million five hundred thousand dollars (\$2,500,000) or more must be no less than two million five hundred thousand dollars (\$2,500,000) per project and the commissioner may authorize a higher amount;

(3) In consideration of reimbursement amounts and discretionary increased reimbursement authorizations under subdivision (f)(2), the commissioner shall consider the following factors:

(A) The scope, scale, and complexity of the overall project necessitating utility relocation;

(B) The nature, extent, and complexity of the utility relocation work required, including engineering, design, permitting, and construction components;

(C) The financial, operational, and service impacts on the affected utility or utilities, including impacts on service reliability, infrastructure integrity, and the continuity of utility operations;

(D) The effect of required relocation on the utility's ratepayers, including potential cost burdens and the utility's duty to maintain just and reasonable rates;

(E) Any extraordinary or unforeseen conditions contributing to increased relocation costs, including geographic, environmental, geologic, or right-of-way constraints;

(F) The extent to which the department's project schedule, design requirements, or right-of-way acquisition timelines impact the cost and feasibility of the utility relocation;

(G) The availability, adequacy, and cost of alternative relocation routes or methods; and

(H) Any other factor the commissioner determines relevant to ensuring that utility relocation costs are reasonable, equitable, and do not impose undue financial hardship on utilities or their ratepayers; and

(4) The eligible reimbursement must be the amount authorized, including any discretionary increase, under the rules in effect at the time the utility relocation contract is executed by all parties.

SECTION 5. Tennessee Code Annotated, Section 54-5-806, is amended by deleting subsection (a) and substituting instead:

(a) The policy, principles, and reimbursement provisions of this part apply equally to all utilities, whether public, private, or cooperatively owned, that furnish utility service, including, but not limited to, electricity, liquids, steam, sewerage, water, fuel gas, natural gas, telephone or telegraph services, broadband internet or fiber optic services, and telecommunication services through a system of pipes, conduits, cables, or wires devoted to public utility service.

SECTION 6. Tennessee Code Annotated, Section 54-5-852, is amended by deleting subdivision (8) and substituting instead:

(8) "Utility facility" means lines, pipes, or other systems used, available for use, or formerly used to transmit or distribute electricity, liquids, steam, sewerage, water, fuel gas, natural gas, telephone or telegraph services, broadband internet or fiber optic services, telecommunication services, or other materials.

SECTION 7. Tennessee Code Annotated, Section 54-5-854, is amended by deleting subsection (c) and substituting instead:

(c)

(1) After the owner has submitted its plan and schedule of calendar days, the department must approve them if reasonable. Plans submitted by the owner are considered reasonable if the proposal would effectuate the relocation at the lowest cost to ratepayers.

(2) If the plans submitted are not reasonable as described in subdivision (c)(1), then the department may otherwise reasonably direct the owner to install, relocate, or adjust its utility facilities in accordance with an approved plan and schedule of calendar days.

(3) The department shall communicate approval or direction to the owner via certified mail.

(4) The department shall establish the date on which the owner may begin the installation, relocation, or adjustment of its utility facilities, and the owner must be given reasonable advance notice of the date by certified mail via a notice to proceed. The owner is free to order the required materials associated with the proposed utility relocation or adjustment at this time. An owner must not be notified to begin installation, relocation, or adjustment until all health, governmental, and environmental regulatory agencies have approved the submitted plan where applicable.

(5) If the department and the owner fail to agree on a reasonable plan and schedule of calendar days to install, relocate, or adjust the utility, then the owner may proceed with the approved schedule under a reservation of rights notice to the department. The notice must be filed within ten (10) days of the issuance of a notice to proceed by the department. The notice must contain the owner's objections to the relocation schedule and must state the reasons for the objections. The reservation of rights must become a part of the administrative record for a subsequent contested case. If a subsequent contested case results in a revised plan and schedule of calendar days, then a penalty under subsections (g) and (h) must be determined on the basis of the revised schedule.

SECTION 8. Tennessee Code Annotated, Section 54-5-854(d), is amended by deleting subsection (d) and substituting instead the following:

(d) After the owner has completed the installation, relocation, or adjustment, or a part of the installation, relocation, or adjustment, and if the department requires an additional relocation or adjustment, then the department shall reimburse the owner for

the additional cost incurred in accordance with the rules promulgated pursuant to § 54-5-804(f).

SECTION 9. For the purpose of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2027, the public welfare requiring it.